

Australia Chair Daily Brief

AUSTRALIA · NEW ZEALAND · THE PACIFIC ISLANDS

Monday, September 7, 2026

RE: Leaked \$980m Solomons treaty text surfaces · Wale survives no-confidence motion · NZ coalition leads pre-election poll · Coalition presses Labor on Chinese BHP stake · PIF's China rebuke buried in communique

ASX 200 **9,011** -0.72% AUD/USD **0.7220** +0.66% NZX 50 **13,943** +0.18% NZD/USD **0.5882** -0.68%

BRENT **96.28** +1.72%

TODAY AT A GLANCE

- 1** Solomon Islands Prime Minister Matthew Wale survived a no-confidence motion withdrawn on Sunday, clearing the path for a leaked Australian treaty package worth more than \$980 million to be signed in coming weeks.
- 2** New Zealand's National-ACT-NZ First coalition leads a new poll two months before the November 7 general election, days after National pledged to widen the Kainga Ora low-deposit First Home Loan scheme to households earning up to \$300,000.
- 3** Pacific leaders buried their rebuke of China's unarmed ballistic missile test deep in the Palau communique, with Nauru declining to sign and Kiribati not represented in the room.

TOP STORIES

PACIFIC-DIPLOMACY

Leaked text reveals Australia's \$980 million commitment to Solomon Islands

Australia and Solomon Islands have reached an in-principle agreement on a new treaty, according to a message from Australia's High Commissioner to Solomon Islands, Jeffrey Roach, to deputy prime minister Francis Sade, verified by ABC News and now circulating in political circles in Honiara. The message says Canberra has promised more than \$980 million in additional funding to lock in the pact. Sources told the ABC negotiations have all but concluded, and Anthony Albanese and Matthew Wale could sign in coming weeks.

So what: The federal government is racing to sign the treaty in coming weeks now that Wale has warded off a leadership challenge.

per ABC News (Stephen Dziedzic): "Leaked text reveals Australia's \$980 million commitment to Solomon Islands"

PACIFIC-POLITICS

Solomon Islands PM Wale survives no-confidence challenge

Manasseh Maelanga, who lodged the motion of no confidence against Wale a week ago, withdrew it on Sunday afternoon and filed the formal documents with the National Parliament, saying the motion "was never about professional ambition, personal interest or creating division in our country." Wale, in office just over three months, had left the Pacific Islands Forum Leaders Meeting in Palau within hours of arriving and returned to face the resignations of three cabinet ministers. He cited "a rising level of public anger in terms of how leaders behave in these situations."

So what: Matthew Knott reported the outcome as a blow to Beijing and a coup for Albanese, with Wale's next move shaping the Pacific's security architecture.

per RNZ Pacific: "No-confidence motion against Solomon Islands PM withdrawn" · also SMH Federal Politics (Matthew Knott): "The political survivor whose next move could decide the Pacific's security future"

NZ-POLITICS

New Zealand's ruling coalition leads poll two months from election

New Zealand's governing coalition leads a new poll taken two months before the general election, Bloomberg reported. The vote is confirmed for Saturday November 7, with advance voting from October 26. The result lands after National used the weekend to promise an expanded low-deposit home loan scheme if returned, lifting the income threshold to \$300,000 combined from caps of \$95,000 for single buyers without dependents and \$150,000 for others set in 2022.

So what: The lead sets the baseline for the coalition's campaign into the confirmed November 7 election date.

per Bloomberg: "New Zealand's Ruling Coalition Leads Poll Two Months Ahead of Election"

OVERNIGHT

PACIFIC-POLITICS · THE AUSTRALIAN

Solomons PM shuts down parliament after leadership rebellion collapses

Wale moved to shut down parliament after the leadership rebellion against him collapsed, The Australian reported. The motion had been set for debate in the National Parliament on Monday September 7 before Maelanga withdrew it. It remains unclear whether the grievances behind the motion, centred on decisions taken without cabinet consultation, have been resolved.

TRADE-ECONOMY · THE AUSTRALIAN

Coalition urges Labor to block Chinese stake in BHP iron ore mine

The Coalition is urging the Albanese government to block a Chinese deal for a stake in a BHP iron ore mine, The Australian reported. The paper's account did not disclose the transaction's value or the acquiring entity. The push follows last week's reporting that Chinese portside property purchases in Australia escaped foreign investment screening.

AU-POLITICS · SMH FEDERAL POLITICS

Veterans to lay down medals over healthcare cuts

Veterans will lay down their medals in a ceremony marking two years since the Royal Commission into Defence and Veteran Suicide delivered its final report, SMH reported. The Royal Commission produced 122 recommendations. The government has since introduced a \$5,000 cap on allied health services for veterans, a measure the ABC examined alongside Senator Jacqui Lambie.

AU-DEFENSE · ABC NEWS

Royal Australian Navy winches Canadian sailor to safety off Christmas Island

Royal Australian Navy personnel winched a solo Canadian sailor from the Indian Ocean on Sunday about 1,000 kilometres south-east of Christmas Island. The Australian Maritime Safety Authority scrambled its Perth-based Challenger jet after the man's brother reported two missed scheduled calls, located the partially submerged catamaran, and parachuted supplies before the navy recovery.

AU-POLITICS · THE AUSTRALIAN

Hastie floated for home affairs as Liberal reshuffle looms

A Liberal reshuffle is looming with Andrew Hastie floated for the home affairs portfolio, The Australian reported, as the party sounds a warning on tobacco excise. Hastie last week warned that Chinese artificial intelligence poses a high risk. The report did not disclose the timing of any reshuffle.

PACIFIC WIRE

SOLOMON ISLANDS · SMH WORLD

Australian man arrested in Solomon Islands over alleged threats

An Australian man has been arrested in Solomon Islands, accused of threatening a local business, SMH reported. The report did not identify the man or specify the charges. The arrest lands as Canberra pushes to conclude its treaty negotiations in Honiara.

PAPUA NEW GUINEA · FINANCIAL TIMES

TotalEnergies takes steps towards final investment decision on Papua LNG

TotalEnergies has taken what it describes as decisive steps towards a final investment decision on Papua LNG, according to a company announcement carried on the Financial Times markets service. A final investment decision would commit one of the largest resource projects in Papua New Guinea's pipeline.

PAPUA NEW GUINEA · ABC PACIFIC

Bougainville cocoa output rebuilds to 17,000 tonnes as prices climb

Bougainville produced 17,000 metric tonnes of cocoa last year and is again Papua New Guinea's largest producer, Commodity Support Facility manager Clare Toboen told ABC Pacific. The industry was decimated by the decade-long civil war that began in the late 1980s. Bougainville hosts its annual Chocolate Festival on September 23.

PAPUA NEW GUINEA · ABC PACIFIC

Melanesian Institute finds families driving sorcery-accusation violence in PNG

Research by the Melanesian Institute finds that in many cases of sorcery accusation related violence in Papua New Guinea the perpetrators are the victims' own relatives, research officer Sister Arnolda Kavanamur told ABC Radio Australia's Wantok. That pattern makes victims reluctant to report to police or pursue cases in court.

NEW ZEALAND

NZ-POLITICS · RNZ

Luxon defends higher costs for low-deposit buyers as National expands scheme

Christopher Luxon defended scrapping the government's contribution to the mortgage insurance premium, which lifted costs for low-deposit borrowers from 0.5 percent of the mortgage's total cost to 1.2 percent, close to \$4,000 on average. He told Morning Report it had not affected application numbers, and said the expanded First Home Loan threshold would help "junior doctors and electricians and teachers and nurses and police".

TRADE-ECONOMY · RNZ

Visiting US economist cautions against breaking up New Zealand gentailers

James Bushnell, professor of economics at the University of California, Davis, told RNZ he finds elements of New Zealand's gentailer model "really appealing" and pointed to California's forced separation of retailers from generators in

the early 2000s, which "didn't go so well". Contact, Mercury, Genesis and Meridian made combined profits of around \$1 billion this year. He was hosted by the Electricity Retailers and Generators Association.

CHINA IN THE PACIFIC

REGIONAL · OTHER · ABC PACIFIC

Forum's China rebuke buried in communique as Micronesian rift persists

Leaders' disapproval of China's unarmed ballistic missile test, and a demand for at least 24 hours notice before any future test, sat in the depths of the final communique from the 55th Pacific Islands Forum leaders meeting in Palau, ABC Pacific reported. Naoero declined to sign and Kiribati was not represented in the room. Tess Newton Cain of the Griffith Asia Institute's Pacific Hub, who covered the week for VBTC in Vanuatu, said the rift with Micronesia that almost broke the organisation apart five years ago is still not fully healed.

CANBERRA POLITICS

AU-POLITICS · SMH FEDERAL POLITICS

Hanson and Joyce defend plan to divert super into pay packets

One Nation wants renters and mortgage holders to divert 3 percent of their 12 percent superannuation contributions into their bank accounts for up to three years, with Pauline Hanson and Barnaby Joyce defending the plan as "the people's money". The government called it a "recipe to make Australian workers worse off", and the head of ASFA told the ABC early withdrawal amounts to "robbing their future self".

AU-POLITICS · SMH FEDERAL POLITICS

Government closes in on \$100 million social media fines

The Albanese government is set to unveil draft Digital Duty of Care legislation by the end of the week, with penalties approaching \$100 million and Labor weighing an opt-in model for algorithmic feeds. Opposition Leader Angus Taylor said he has reservations about freedom of speech and "enormous ministerial discretion around censorship on the internet".

AU-DEFENSE · THE AUSTRALIAN

Defence doubles down on social media demand

The Department of Defence has doubled down on what The Australian describes as a stunning social media demand. The paper's published summary carries no further detail behind the paywall, and the department's specific request has not been reported elsewhere in today's coverage.

BUSINESS AND ECONOMY

TRADE-ECONOMY · THE AUSTRALIAN

Chinese EV brands now outselling petrol cars in Australia

Cheap Chinese brands have made electric cars the top choice for Australian drivers, with EV sales overtaking petrol vehicles, The Australian reported. The shift lands as the ABC's economics coverage examines what MIT's David Autor calls China Shock 2.0, in which China competes in artificial intelligence, electric vehicles, and robotics rather than low-cost goods.

TRADE-ECONOMY · ABC NEWS

CSIRO blueprint maps return of spinning mills to Australia

The CSIRO has produced a feasibility study and template for re-establishing spinning mills, the link in Australia's clothing supply chain that disappeared in the 1980s. Industry says significant investment is required and is asking the nation's largest purchaser of uniforms to guarantee demand by committing to Australian-made procurement.

TRADE-ECONOMY · THE AUSTRALIAN

APLNG seeks ban on Gladstone LNG buying domestic gas

Australia Pacific LNG is seeking a ban on Gladstone LNG purchasing domestic gas, mounting a challenge to its Queensland rival in a preview of the government's gas scheme, The Australian reported. The dispute bears on how much east coast gas is diverted from export trains to domestic buyers.

TRADE-ECONOMY · AFR

Ageing population narrows the window to repair the budget

The demographic tailwind that powered the boom of the 2000s is now a headwind, the AFR wrote, warning a shrinking workforce may not be productive enough to finance an expanding welfare state. The analysis follows last week's national accounts showing real net national disposable income fell 0.4 percent in the June quarter.

TRADE-ECONOMY · THE AUSTRALIAN

Thousands of transport workers to strike nationwide over pay and jobs

Thousands of transport workers will launch a nationwide strike over pay and job security, hitting major suppliers, The Australian reported. The action tests the government's industrial settings during a sitting fortnight already crowded by superannuation and online safety legislation.

PRIMARY DOCUMENTS

COMMUNIQUE · PUBLIC RADIO GUAM

Forum commune critiques China's July ICBM test

Public Radio Guam reported the leaders' commune from Palau criticising China's July intercontinental ballistic missile test. The text is the first collective statement by Forum leaders on the launch, roughly two months after it landed in the Pacific.

CALENDAR WATCH

7 Nov 2026

New Zealand general election, advance voting from October 26

Decides whether the National-ACT-NZ First coalition, currently leading polling, is returned.

expected in
coming weeks
2026

Signing of the Australia-Solomon Islands treaty by Albanese and Wale

Locks in the additional funding of more than \$980 million described in the leaked high commissioner's message.

by the end of this
week 2026

Draft Digital Duty of Care legislation released

Sets the penalty regime, reported at close to \$100 million, that the Coalition is contesting on free speech grounds.

current sitting
fortnight 2026

Australian parliamentary sitting weeks resume

One Nation's superannuation plan and the online safety package dominate the agenda.

23 Sep 2026

Bougainville Chocolate Festival

Showcases the cocoa recovery underpinning Bougainville's revenue base ahead of the independence question in PNG's parliament.

ALSO TODAY

THE AUSTRALIAN

Labor's good work in the Pacific undone by Bowen's climate diplomacy

The Australian's commentary argues Labor's Pacific gains are being undercut by the climate diplomacy run out of the energy portfolio. It follows Greenpeace's criticism last week that the Forum's climate text repeated old language on Australia.

THE AUSTRALIAN

First-home buyer confidence falls as mortgage pre-approvals plunge

Mortgage pre-approvals have plunged and first-home buyers are avoiding the market despite budget assistance measures, The Australian reported. The Australian data point runs against National's weekend pitch across the Tasman to widen low-deposit lending.

ABC NEWS

Regulator imposes four conditions on Australian National University

The Tertiary Education Quality and Standards Agency imposed four conditions on the ANU after a 14-month compliance review found it failed to meet three higher education standards, covering governance oversight, integrity, council induction, and information flows. The ANU is the only public university in Australia with conditions on its registration.

ANALYSIS AND OPINION

ASPI STRATEGIST

Postcard from PIF: Hardly divided, leaders took a stand on China test

The piece argues that China dominated the agenda of the annual leaders meeting in Palau and that the outcome showed more cohesion than the reporting suggested.

Argument: Coverage overstated division at the 55th Pacific Islands Forum: leaders did register a collective position on China's missile test.

So what: Frames how partners should read the Palau communique's language on the missile test.

ASPI STRATEGIST

UN Resolution 2758: when interpretation becomes institutional power

The article opens with Albanese being asked in Palau whether it was appropriate for China to warn of consequences over Taiwan's presence, and his reply that the Forum determines its own arrangements.

Argument: Contested readings of UN Resolution 2758 are being converted into institutional leverage over who attends Pacific meetings.

So what: Bears directly on Taiwan's status at future Forum meetings under the incoming Palau chair.

LOWY INTERPRETER

Vanuatu's bid to settle France's claim to Matthew and Hunter

The piece sets out Port Vila's legal strategy and the consent problem that determines whether the case proceeds.

Argument: Vanuatu wants the International Court of Justice to rule on the colonial-era dispute over Matthew and Hunter, but France controls whether the court hears it.

So what: A live sovereignty dispute between a Forum member and a metropolitan power with Pacific territories.

ASPI STRATEGIST

AUKUS has put Australia's submarine effort back on track

The author notes Australian governments have given different answers over the years to the question of who the capability is aimed at, and assesses the program against that test.

Argument: AUKUS has restored coherence to Australia's submarine program, and the prior question is always defence against whom.

So what: Counterpoint to the former officials' warnings carried last week that AUKUS exposes Australia to great-power war without a veto.

LOWY INTERPRETER

Vietnam's blue economy needs more than ports and ships

The piece reads Resolution 20 as an agenda that outruns Vietnam's current regulatory capacity.

Argument: Vietnam's Resolution 20 will require marine governance, institutions, and expertise, not only infrastructure, and Australia is placed to assist.

So what: Identifies a maritime capacity-building niche for Australian agencies in Southeast Asia.

LOWY INTERPRETER

Europe borrows Australia's asylum script, outsourcing rights

The article traces the European proposals back to Australian offshore processing precedents and the rights problems they generated.

Argument: Five European countries plan to send rejected asylum seekers to return hubs outside the EU next year, and copying the Australian approach is likely to get messy.

So what: Relevant to Australia's regional processing arrangements and to how partners read its migration record.